# Contractor Scam Protection Guide — Action Checklist

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## BEFORE YOU SIGN — VERIFY EVERYTHING

- ☐ **Search Your State's License Board by Name and License Number Before Hiring:** Every state has a Contractor State License Board or equivalent. A 5-minute search at cslb.ca.gov or your state's equivalent tells you if the license is current, clean, and tied to a real business.
- ☐ **Ask for Proof of General Liability Insurance and Workers' Comp — Written, Not Verbal:** A contractor who says they're insured but can't produce a policy document isn't insured. Minimum recommended coverage is $1M general liability. For big projects, call the insurance company directly to confirm.
- ☐ **Check Your State's Consumer Protection Site for Filed Complaints:** Most states publish complaint history online. Search the contractor's name and license number together — a pattern of unresolved complaints from multiple homeowners is a clear walk-away signal.
- ☐ **Get Three Written Bids That Include Full Scope, Materials, Timeline, and Payment Schedule:** Verbal estimates don't bind anyone. A written bid that refuses to specify materials or timeline isn't a real bid — it's a setup for a surprise invoice later.

## PAYMENT PROTECTION — LOCK DOWN YOUR MONEY

- ☐ **Never Pay More Than $1,000 or 10% Down — Whichever Is Less — for Residential Work:** This isn't just good advice, it's the law in California and a model in many other states. If a contractor asks for more upfront before starting, that is a red flag — walk away.
- ☐ **Pay by Check, Credit Card, or a Platform With Fraud Protection — Never Cash:** Cash leaves no trail and is untraceable if something goes wrong. A credit card gives you a chargeback option. If a contractor insists on cash, that's two red flags at once.
- ☐ **Get These Six Clauses in Every Contract Before Signing:** Scope of work with materials list, payment schedule tied to milestones, change order process with pricing, warranty clause, termination clause, and lien waiver. Without all six, you have no legal protection.

- ☐ **File a Mechanics Lien on Your Property Within 90 Days of Any Payment if Work Stops:** A mechanics lien prevents the contractor from collecting from other sources using your property as collateral. It also puts other subcontractors on notice that your title isn't clean — act within your state's deadline.

## IF YOU'VE BEEN HIT — RECOVERY STEPS

- ☐ **File a Complaint With Your State License Board Within Your State's Filing Window:** Most states have a specific deadline — don't assume you have unlimited time. The CSLB or equivalent can revoke a contractor's license and order restitution. Time matters in regulatory recovery.
- ☐ **File a Police Report If the Amount Exceeds Your State's Threshold — Typically $950+:** Contractor fraud above that threshold crosses into felony territory in most states. A police report creates a paper trail and may trigger an investigation if other victims have filed similar reports.
- ☐ **Report the Fraud to the FTC at ReportFraud.ftc.gov Even if the Amount Is Small:** Your individual report may not lead to immediate recovery, but it contributes to a pattern case. The FTC builds cases across state lines and your data matters even in small-dollar cases.
- ☐ **Consult a Construction Litigation Attorney if the Amount Lost Exceeds Your State's Small Claims Limit:** Small claims court handles up to your state's limit (typically $5,000-$15,000). For larger amounts, a construction attorney can file in superior court and potentially attach assets or liens.